Strong export surge to dampen scale of fiscal support

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【メール原文】

A 36% increase in exports in September gives Beijing wiggle room to limit actual deployment of recently approved stimulus measures.||||||||||||||||

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Economic Policy
Strong exports will likely reduce the need for large-scale fiscal support. September exports surged 36% year-on-year in dollar terms, putting China’s trade surplus on track to surpass its 2025 record of $1.2 trillion. AI investment and year-end holiday demand should sustain export momentum. On 9 October, Beijing approved a reallocation of 550 billion yuan of debt to support government investment and help meet this year’s growth target, but strong exports will likely limit actual fiscal spending.

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Yuan appreciation could weaken export competitiveness, but the yuan will likely trade in a narrow range through the end of the year. In its first yuan position paper, published on 9 October, the People’s Bank of China (PBoC) rejected undervaluation claims and defended its currency management, signaling resistance to expectations of one-way appreciation.

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Beijing is strengthening social welfare programs to spur consumption amid new signs of weakness. Household loans contracted by 1.03 trillion yuan January through September as deposits rose, and Golden Week spending per trip fell despite more travel. From 1 November, employers that fail to pay social insurance after a payment order will face fines. Broader coverage could ease precautionary savings over time, but higher costs for small and medium-sized enterprises and lower take-home pay for their employees may weigh on consumption in the near term.

Politics

Past cooperation offers limited protection against renewed political scrutiny. On 13 October, Beijing placed Huang Qifan, Chongqing mayor from 2009 to 2016, under investigation for disciplinary and legal violations. Huang survived the purges of sitting Politburo members Bo Xilai in 2012 and Sun Zhengcai in 2017.

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Huang's case indicates that retirement and active cooperation against a fallen patron does not guarantee survival. Huang had called Bo's legacy "banished" and his projects "vanity work," distanced himself from Sun, and served as a cooperating witness against both. After retirement, he rebuilt himself as a prominent technocratic economist advising think tanks.

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Huang's fall will make domestic economists and advisers, already reluctant to speak, more wary of public commentary, even though his investigation stems from his Chongqing tenure rather than his policy views. A trained economist who helped develop Shanghai's Pudong district under former premier Zhu Rongji, Huang consistently advocated for more market-oriented approaches to real estate, capital markets, and industrial policy. His fall signals that even retired figures with strong technical credentials face political risk when they publicly disagree with policy.

Foreign Policy

China’s trade accommodation with Europe will be tested in 2027. Beijing agreed to allow the EU to impose quotas on imports of hybrid vehicles following the latest round of trade talks between Minister of Commerce Wang Wentao and his EU counterpart on 8-9 October. The quota will cap hybrid vehicle imports from China at roughly 350,000 in 2027, up from 2025 levels but a significant reduction from 2026. The two sides will hold their next round of talks virtually in January, with plans for an in-person meeting in March.

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Beijing can accept import quotas but not export restrictions. China entered the trade talks opposing a unilateral cap on its hybrid-vehicle exports as a violation of WTO rules and threatening retaliation against EU measures that restrict trade. In the end, however, Beijing was willing to accept EU import quotas that do not target China directly and allow for modest growth in hybrid imports above 2025 levels.

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China's auto concessions are likely a tactical sacrifice to shield other exports from EU action. Hybrid vehicles accounted for less than 3% of the EU's trade imbalance with China last year, making them a low-cost offering—but one Beijing is betting will be politically potent enough, particularly in Germany, to blunt EU appetite for broader tariff action.

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This move toward accommodation rather than retaliation will be tested in 2027. The EU will likely advance new trade restrictions in the coming months, including unilateral quotas or tariffs on chemicals and machinery, and China-EU trade frictions will probably rise next year (see: Hybrids deal won’t stop gradual EU trade policy tightening , 14 October 2026).

US-China

Trump-Xi engagement will help contain bilateral frictions. Beijing sees the record four meetings between Xi and US President Donald Trump in 2026 as a positive catalyst for the bilateral relationship, as top-down signaling drives officials at all levels to keep new irritants from escalating. In the near term, Beijing wants a constructive environment to engage Trump at the APEC summit in Shenzhen.

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A well-placed official told Eurasia Group that the Shenzhen visit will offer a “big opportunity,” because the two bilateral summits this year have established “constructive strategic stability” as a basis for “responsible and fair reciprocity.” The official expressed confidence that the two sides would take further productive steps regarding the Boards of Trade and Investment, the AI dialogue, and law enforcement cooperation.

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Chinese state buyers reportedly recently placed orders for roughly 650,000 metric tons of soybeans, bringing the country to nearly 60% of its 2026 purchase commitment of 25 million metric tons.

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In an apparent goodwill gesture, the PBoC granted Visa permission to begin preparatory work for setting up bank card clearing services; Mastercard and American Express already conduct such business in China.

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Despite these steps by Beijing, both sides will continue to struggle to iron out a path forward for the Busan truce; avoid new frictions over AI, technology, and critical minerals; and manage sensitivities over Taiwan, especially US weapons sales expected to resume in 2027.

Taiwan

Cross-strait stability likely to hold through year-end. In his annual National Day Address on 10 October, President William Lai refrained from criticizing China heavily in his speech, only admonishing Beijing for its military coercion against Taiwan and its distortion of World War II history. Beijing’s Foreign Ministry and Taiwan Affairs Office criticized the speech for promoting “Taiwan independence” but did not hint at any strong retaliatory measures.

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A Chinese military exercise in response to the speech is unlikely, reinforcing cross-strait stability through the end of the year. Lai did not articulate any new phrases that highlight Taiwanese sovereignty as separate from China, nor repeated that “the People’s Republic of China and the Republic of China are mutually not subordinate to one another,” a phrase that greatly angered Beijing in 2024.

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The only Chinese response thus far was sanctions on two officials from Belize and Paraguay, two countries that have diplomatic relations with Taiwan. The sanctions are symbolic, since the two officials appear to have no assets in China, but they mark the first time Beijing has sanctioned Taiwan’s diplomatic partners.

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Lai’s speech enumerated cabinet policies supporting social welfare, housing, and domestic industries. He also reaffirmed his government’s commitment to increase defense spending.

Standing calls

Notes underpinning calls:

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Hybrids deal won’t stop gradual EU trade policy tightening , 14 October 2026

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Summit lowers odds of year-end bilateral breakdown , 25 September 2026

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Beijing’s growing confidence will heighten Taiwan risks after 2028 , 15 September 2026

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Beijing will maintain calibrated pressure campaign against Tokyo , 20 July 2026

Upcoming Events

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19–22 October: Bund Summit in Shanghai

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20–21 October: APEC Finance Ministers meeting in Hong Kong

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26–29 October: Fifth Plenum of the 20th CCP Central Committee

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30–31 October: G20 Foreign Ministers meeting in Atlanta

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16–18 November: ASEAN summit in Manila

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18–19 November: APEC summit in Shenzhen

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28 November: Taiwan local elections

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14–15 December: G20 leaders’ summit in Miami

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10 January: US-China truce extension expiration

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